Jae Hoon Lee

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Education

The George Washington University — Washington DC, United States of America
Ph.D. in Economics, expected May 2027 — *Sep. 2021 - Present*
M.S. in Economics — *Spring 2026*

Yonsei University — Seoul, Republic of Korea
M.A. program in Economics (incomplete) — *Sep. 2019 - Jun. 2021*

Yonsei University — Seoul, Republic of Korea
B.A. in Western History, Economics (double major) — *Mar. 2013 - Aug. 2019*

Leave of absence: Military service — The 10th Combat Flight Command (Suwon Airfield)
Striking Force, Military Police, Republic of Korea Air Force — *Feb. 2014 - Feb. 2016*

Fields of interest

Macroeconomics, International Finance, Public Finance

Working Papers

Fiscal Rules When Sovereign Debt Is Risky but Convenient (*Job Market Paper*)

Research support: George & May Shiers Memorial Fund Fellowship (2026)

Abstract

Investors value sovereign debt for its liquidity and as collateral even when it carries default risk. This paper studies how this convenience changes the optimal design of fiscal rules in a quantitative model of sovereign default calibrated to Italy. It compares a debt brake, which caps debt, with a spread brake, which stops new borrowing once the spread exceeds a threshold. Spread brakes raise welfare more than the best debt brake: their ceilings are loose when default risk is low and tighten when it rises. But the market spread, the spread observed in bond markets, reflects not only default risk but also the convenience yield. A spread brake that reads the market spread therefore loosens when demand for liquidity and collateral rises, and it raises welfare less than a spread brake based on default risk. The gap widens in a monetary union: members earn different convenience yields, so a common market-spread threshold allows each member a different level of default risk. Spread brakes should target default risk rather than market spreads.

Financial Liberalization and Investment-Specific Technological Change

Research support: GW-CIBER Research Funding (2024–2025)

Abstract

Does financial liberalization promote growth through investment-specific technological change (ISTC), and why do its benefits differ so sharply across countries? Using UNIDO INDSTAT2 data covering 22 manufacturing industries in 139 countries (1963–2021), I apply a local-projection difference-in-differences design to capital account liberalization episodes and show that liberalization differentially raises value-added growth in high-ISTC industries — but only in countries with strong institutions; in weak-institution countries the effect is absent. I rationalize this finding in a multi-sector overlapping-generations model in which a country-level pledgeability parameter governs entrepreneurs' ability to borrow against ISTC-intensive capital. Calibrated to the estimated dynamic responses, the pledgeability channel accounts for roughly half of the observed strong–weak differential and generates a hump-shaped relationship between institutional quality and the gains from liberalization: amplification strengthens with pledgeability, then attenuates as constraints stop binding for the most technology-intensive sectors.

Policy experience

Fiscal Policy Forum (FPF), GW Institute for Korean Studies | *Graduate Assistant* Fall 2026

- Provided research support and designed the agenda for FPF programs that convene experts from academia, international organizations, think tanks, and government to discuss fiscal policy, debt sustainability, budgeting, and related U.S.–Korea policy issues.

Presentations

Fiscal Rules When Sovereign Debt Is Risky but Convenient

- Southern Economic Association 96th Annual Meeting, Houston, TX (Nov. 2026, scheduled)
- Midwest Macroeconomics Meeting, Texas Tech University (Nov. 2026, scheduled)
- 21st Economics Graduate Student Conference, Washington University in St. Louis (Oct. 2026, scheduled)
- Yonsei Emerging Researchers Forum, Yonsei University (Summer 2026)
- Macroeconomics PhD Student Seminar, The George Washington University (Spring 2026)

Financial Liberalization and Investment-Specific Technological Change

- Midwest Macroeconomics Meetings, Marquette University (Spring 2026)
- DMV Macro PhD Symposium, Johns Hopkins University (Spring 2025)
- Macroeconomics PhD Student Seminar, The George Washington University (Fall 2024)

Teaching experience

The George Washington University | *Instructor, Ph.D. Math Camp* Summer 2023, 2024

- Real Analysis, Linear Algebra, Calculus, Differential Equations, Mathematical Statistics

The George Washington University | *Graduate Teaching Assistant* Sep 2022 – Present

- Principles of Macroeconomics (Spring 2023, Spring 2024, Fall 2024, Spring 2025, Fall 2025, Spring 2026)
- Principles of Microeconomics (Fall 2022, Fall 2023, Fall 2026)

Yonsei University | *Teaching Assistant* Sep 2019 - Jun 2021

- Mathematical Statistics, Graduate (Spring 2021)
- Microeconomics (Fall 2019, Fall 2020)
- Welfare Economics (Fall 2020)

Languages

Korean (Native), English (Fluent)

Computer skills

Python, MATLAB, Stata, R, LaTeX

References

Roberto Samaniego
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